

- ultra high net worth individuals, 29
- Ulysses contract, 128
- UMD factor, *See* WMD factor
- unbalanced portfolios, 450
- uncertainty aversion, 68–70
- underfunding, 17–21
- underreaction theory, 238
- Uniform Prudent Management of Institutional Funds Act (UPMIFA), 24
- United Airlines, 18
- United States
 - AAA to AA downgrade, 271–72, 303–4
 - default, 371, 478
 - Japan, compared, 74–76, 79
- United States Oil Fund, 370–71
- United Technologies, 186
- unit investment trusts (UITs), 523, 525
- universities, foundations and endowments. *See* foundations and endowments
- university endowments. *See* foundations and endowments
- unrestricted mean-variance, poor performance of, 104–6
- unsmoothing returns. *See* desmoothing
- U.S. Department of Labor, 528
- utility, 37, 40–70
 - catching up with the Joneses, 27–28, 67–69, 96, 206
 - disappointment aversion, 65–66, 95
 - expected utility, 46. *See also* constant relative risk aversion (CRRA) utility
 - factor recipe, 463, 468
 - habit formation utility, 31, 35, 66–67, 96, 177, 206, 245–46
 - loss aversion or prospect theory, 62–65, 472
 - mean-variance, 50–61, 71–112
 - risk aversion and, 40–42
 - safety first, 62
 - uncertainty aversion, 68–70
- valuation, 21, 99, 133–34, 159, 222, 249, 257, 263–65, 270, 338, 422, 433, 465, 585, 594–95, 604, 609
- value-growth factor, 213, 214, 230–32, 234–35, 449, 467–68. *See also* HML factor
- value investing. *See also* value-growth factor
 - factor risk premiums, 213–14, 239
 - rebalancing interpreted as, 123
- Vanderbilt, Cornelius (“Commodore”), 28–29
- Vanguard Group, 157–58, 402, 466, 528, 552, 589–90
- variance, definition, 40
- variance decomposition, 257, 368, 446
- variance drain, rebalancing, 145
- venture capital (VC) funds, 595, 599–602, 605–6, 613. *See also* private equity
- VIX Index, 218–19, 299. *See also* short volatility factor
- volatility. *See* standard deviation, definition
- volatility, as a factor. *See* low volatility factor or short volatility factor. *See also* volatility risk
- volatility anomaly. *See* low volatility factor; risk anomaly
- volatility protection, 449. *See also* short volatility factor
- volatility pumping, rebalancing, 145
- volatility risk, as a macro factor, 249–50, 259, 266–70. *See also* GARCH models
 - bonds, 218–22, 289–90, 298–300
 - commodities, 367
 - equities, 218–22
 - hedge funds, 572–80
 - municipal bonds, 397
- volatility timing strategies, 268–69
- Volcker, Paul, 275, 280, 349
- Wal-Mart, 49, 71–73, 108–12, 521
- waterfall structure, 611–12
- Wells Fargo, 589
- willingness to pay, 53
- Wisdom Tree Investments, 551
- WML factor or UMD factor, 235–37, 318–19, 324
- World Bank, 176
- World Economic Forum, 121
- World War I, 225, 247
- World War II, 225, 247–48, 285
- Yale University, 26–27. *See also* Swensen, David
- Yellen, Janet, 272–73
- young persons’ life-cycle asset allocation, 163–65
- zero-cost mimicking portfolio, 469
- zero lower bound problem, 275
- zombies, private equity, 604